

Nestlé S.A.

Financial Statement Analysis & Scenario Modeling
Independent portfolio project · Not affiliated with Nestlé S.A.

3-Statement Financial Model Dashboard

Nestlé S.A. · FY2023A–2030F · CHF m · Best / Base / Worst scenarios

Prepared by Mohammad Rivan Gifari, CMA

				Executive Overview
FS Summary	Income Statement	Balance Sheet	Cash Flow	Ratio Analysis
DuPont Analysis	Working Capital	Scenario Analysis	Assumptions & Drivers	Key Takeaways

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Revenue (CHF m)
90.315
▲ 0.5% vs 2025A

EBITDA Margin
17.5%
▼ 0.2 pp vs 2025A

Net Profit (CHF m)
9.486
▲ 2.5% vs 2025A

FCF (CHF m)
8.967
▼ 18.4% vs 2025A

ROE
27.6%
▼ 0.4 pp vs 2025A

ROIC
10.9%
▲ 0.2 pp vs 2025A

Net Debt to EBITDA
3.32x
▼ 0.03x vs 2025A

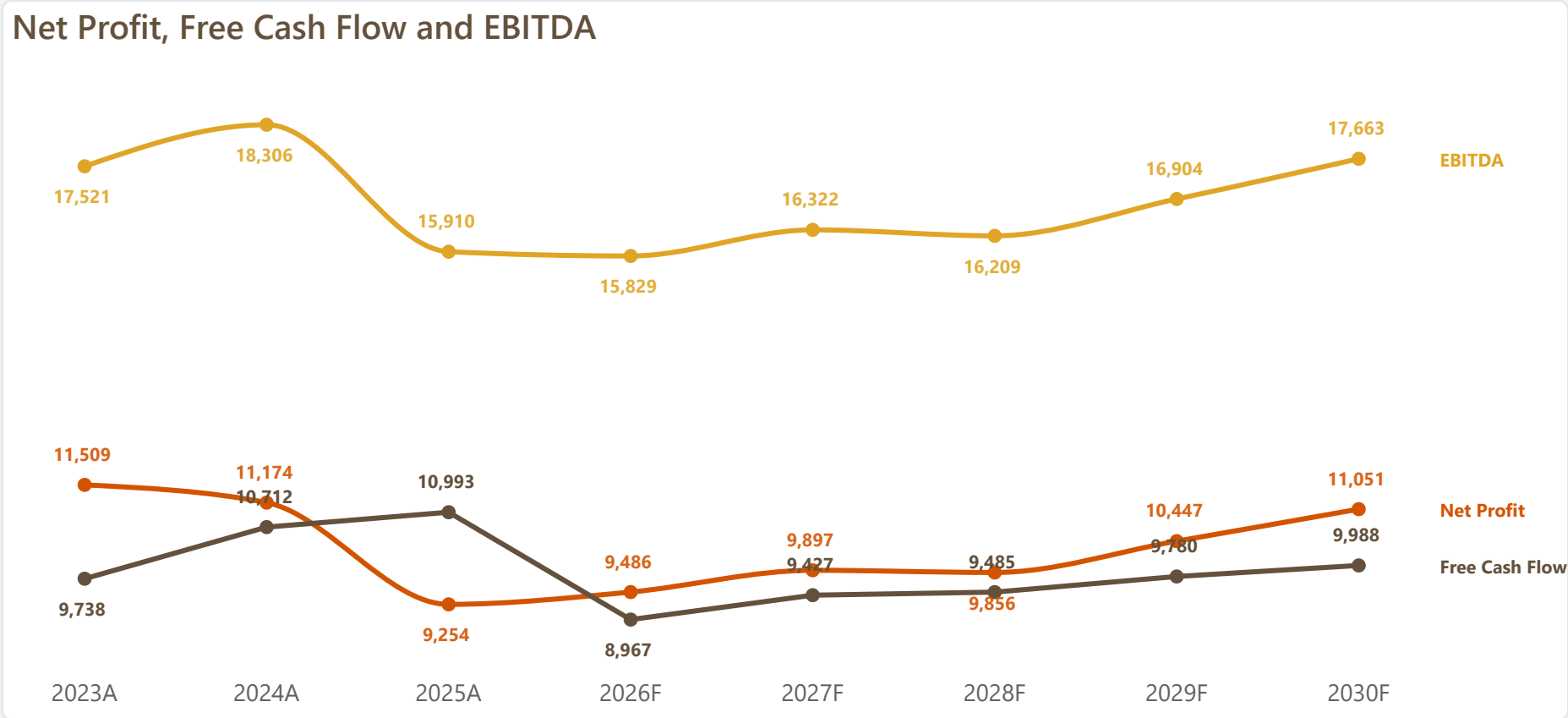
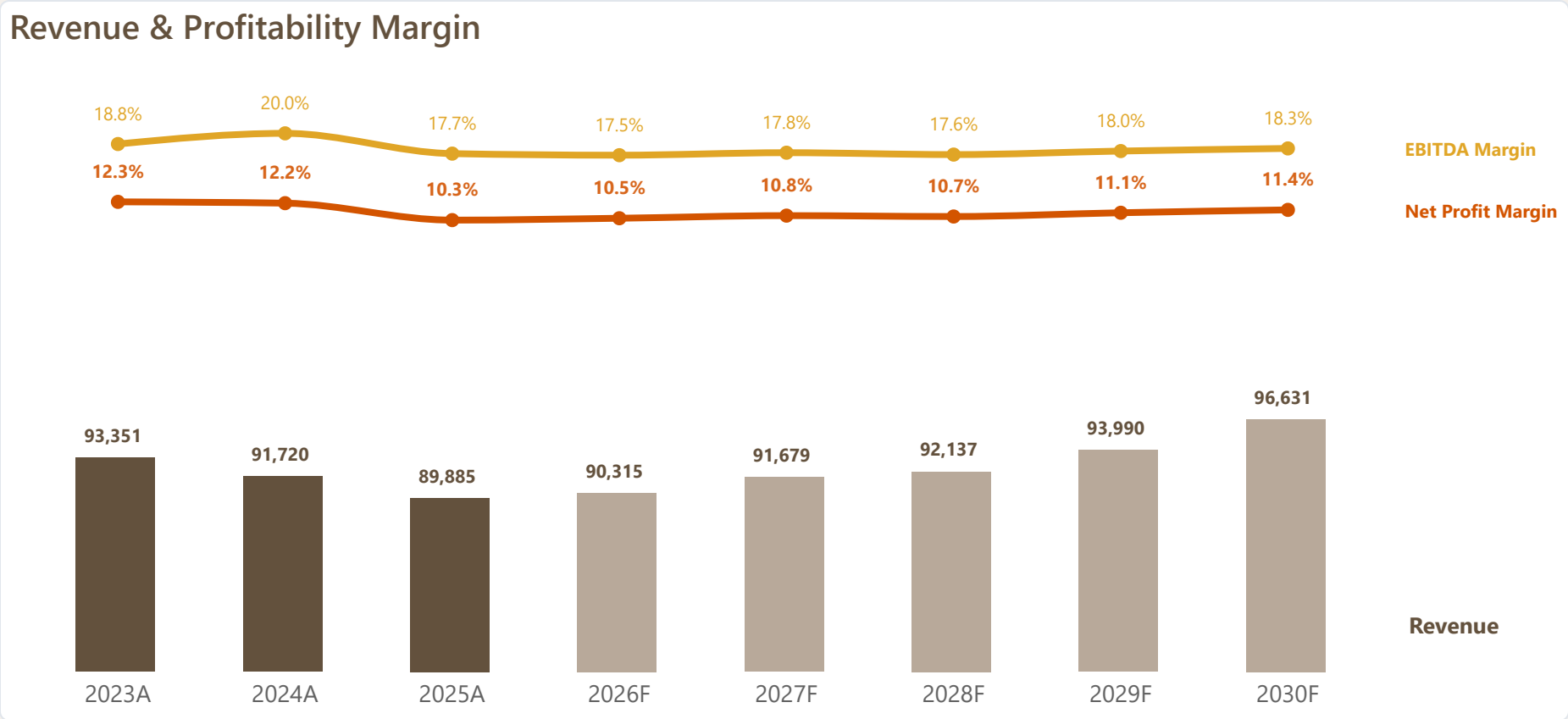
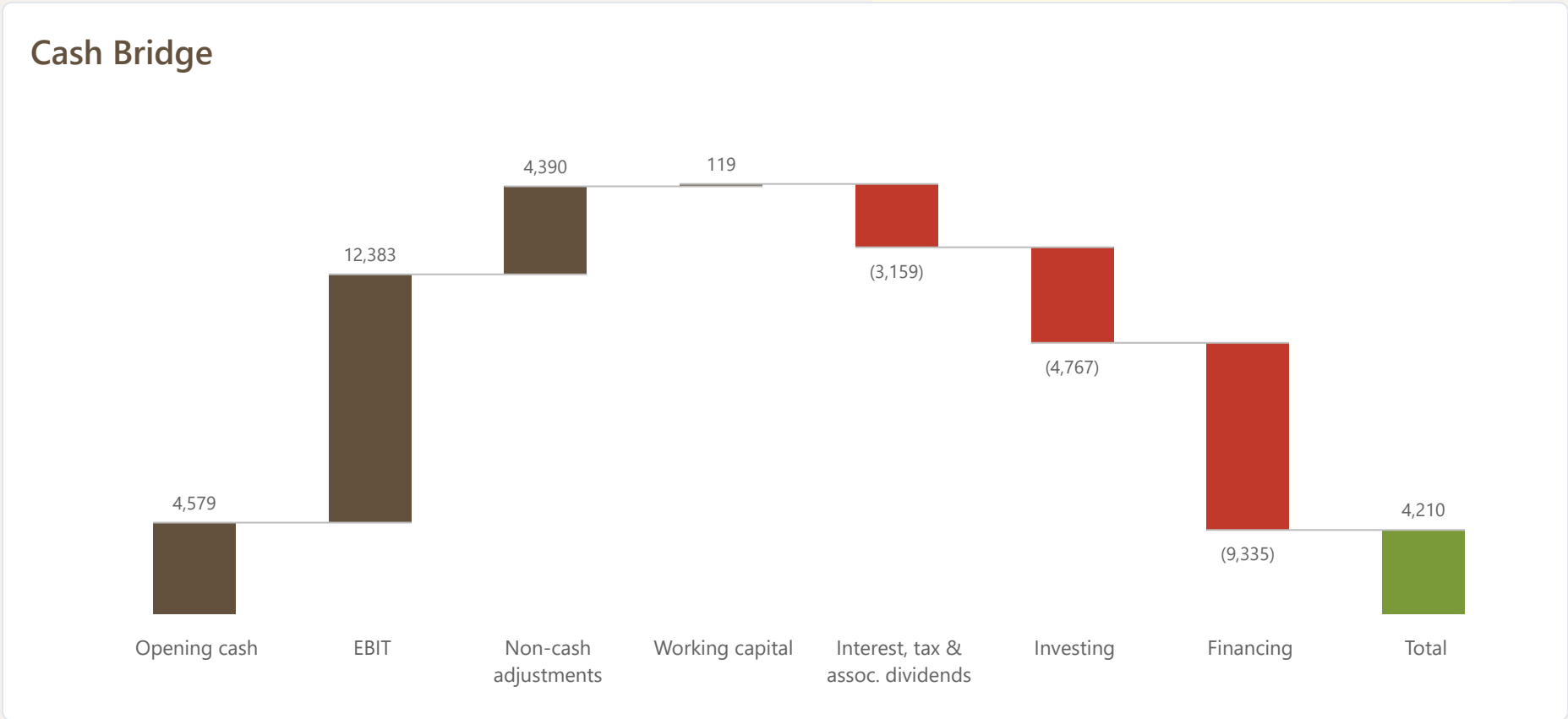
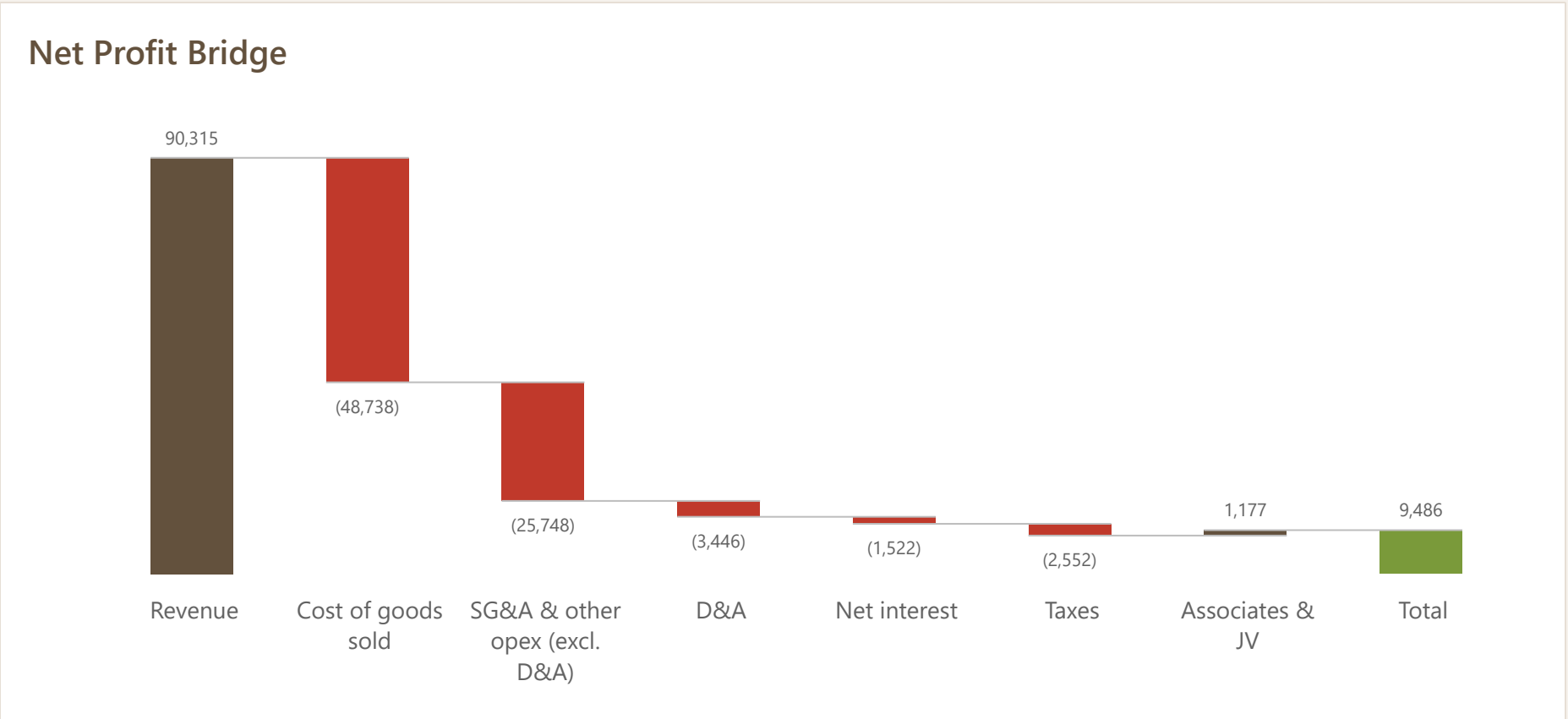
Cash Cycle (days)
-14.2
▼ 3.0 days vs 2025A

Nestlé S.A.
Executive Overview

Reporting Year
2026F

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Base CaseBest CaseWorst Case



Income Statement (CHF m)	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
Revenue	93,351	91,720	89,885	90,315	91,679	92,137	93,990	96,631
Cost of goods sold	(50,328)	(48,670)	(48,694)	(48,738)	(49,651)	(50,534)	(51,462)	(52,776)
Gross profit	43,023	43,050	41,191	41,577	42,028	41,604	42,528	43,855
SG&A & other opex (excl. D&A)	(25,502)	(24,744)	(25,281)	(25,748)	(25,706)	(25,395)	(25,623)	(26,192)
EBITDA	17,521	18,306	15,910	15,829	16,322	16,209	16,904	17,663
Depreciation & amortization	(3,458)	(3,582)	(3,633)	(3,446)	(3,487)	(3,523)	(3,554)	(3,639)
EBIT	14,063	14,724	12,277	12,383	12,834	12,686	13,350	14,024
Net interest	(1,360)	(1,485)	(1,526)	(1,522)	(1,498)	(1,467)	(1,441)	(1,414)
EBT	12,703	13,239	10,751	10,861	11,337	11,219	11,909	12,611
Taxes	(2,314)	(3,314)	(2,640)	(2,552)	(2,664)	(2,636)	(2,799)	(2,963)
Income from associates and JV	1,120	1,249	1,143	1,177	1,224	1,273	1,337	1,404
Net profit	11,509	11,174	9,254	9,486	9,897	9,856	10,447	11,051
Attributable to NCI	300	290	221	237	247	246	261	276
Attributable to parent	11,209	10,884	9,033	9,249	9,649	9,609	10,186	10,775

Cash Flow Statement (CHF m)	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
Operating cash flow	15,941	16,675	15,904	13,733	14,174	14,256	14,599	14,943
Investing cash flow	(6,196)	(8,624)	(4,367)	(4,767)	(4,747)	(4,771)	(4,819)	(4,954)
Financing cash flow	(9,758)	(7,362)	(12,065)	(9,335)	(8,877)	(8,439)	(8,018)	(10,152)
Currency retranslations	(682)	53	(435)	-	-	-	-	-
Net change in cash	(695)	742	(963)	(369)	550	1,046	1,762	(164)
Cash at beginning of year	5,511	4,816	5,558	4,579	4,210	4,760	5,806	7,568
Held-for-sale reclassification	-	(2)	(16)	-	-	-	-	-
Cash at end of year (balance sheet)	4,816	5,556	4,579	4,210	4,760	5,806	7,568	7,404
Capex (PP&E + intangibles)	(6,203)	(5,963)	(4,911)	(4,767)	(4,747)	(4,771)	(4,819)	(4,954)
Free cash flow	9,738	10,712	10,993	8,967	9,427	9,485	9,780	9,988
Shareholder returns (dividends + buybacks)	(13,063)	(12,494)	(8,062)	(8,001)	(8,125)	(8,255)	(8,383)	(10,512)

Nestlé S.A.

Financial Summary

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Reporting Year

2026F



Base Case

Best Case

Worst Case

Balance Sheet (CHF m)	2025A	2026F	2027F	2028F	2029F	2030F
Cash & equivalents	4,579	4,210	4,760	5,806	7,568	7,404
Trade receivables	10,561	10,595	10,754	10,682	10,768	11,069
Inventory	12,813	12,418	12,379	12,322	12,407	12,579
Other current assets	4,016	4,030	4,037	4,040	4,050	4,064
Total current assets	31,969	31,254	31,931	32,850	34,793	35,117
PP&E	32,549	34,027	35,445	36,854	38,231	39,659
Other non-current assets	62,633	61,923	61,457	61,143	61,020	60,990
Total non-current assets	95,182	95,950	96,902	97,997	99,251	100,649
Total assets	127,151	127,203	128,832	130,846	134,044	135,766
Trade payables	20,023	20,029	20,405	20,767	21,149	21,689
Other current liabilities	20,671	20,170	20,157	20,254	20,609	20,869
Total current liabilities	40,694	40,199	40,562	41,021	41,757	42,558
Financial debt (non-current)	46,246	45,356	44,902	44,902	45,351	45,805
Other non-current liabilities	7,153	7,282	7,416	7,554	7,698	7,834
Total non-current liabilities	53,399	52,638	52,318	52,457	53,049	53,639
Total liabilities	94,093	92,838	92,880	93,478	94,807	96,197
Equity attributable to parent	32,810	34,059	35,583	36,938	38,741	39,004
Non-controlling interests	248	307	369	431	496	565
Total equity	33,058	34,366	35,952	37,369	39,237	39,569
Total liabilities and equity	127,151	127,203	128,832	130,846	134,044	135,766

Income Statement (CHF m)	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
Revenue								
Sales	92,998	91,354	89,490	89,937	91,287	91,743	93,578	96,198
Other revenue	353	366	395	378	393	394	412	433
Total revenue	93,351	91,720	89,885	90,315	91,679	92,137	93,990	96,631
Cost of goods sold	(50,328)	(48,670)	(48,694)	(48,738)	(49,651)	(50,534)	(51,462)	(52,776)
Gross profit	43,023	43,050	41,191	41,577	42,028	41,604	42,528	43,855
Distribution expenses	(7,765)	(7,567)	(7,306)	(7,285)	(7,349)	(7,339)	(7,439)	(7,600)
Marketing and administration expenses	(17,549)	(18,112)	(17,883)	(17,987)	(18,349)	(18,440)	(18,903)	(19,528)
Research and development costs	(1,656)	(1,667)	(1,613)	(1,619)	(1,643)	(1,651)	(1,684)	(1,732)
Other trading income	132	124	135	126	128	119	131	135
Other trading expenses	(1,665)	(1,195)	(1,849)	(2,158)	(1,734)	(1,376)	(1,076)	(914)
Trading operating profit	14,520	14,633	12,675	12,653	13,081	12,916	13,556	14,216
Other operating income	298	474	253	270	256	248	262	269
Other operating expenses	(755)	(383)	(651)	(540)	(502)	(477)	(468)	(462)
Operating profit (EBIT)	14,063	14,724	12,277	12,383	12,834	12,686	13,350	14,024
Financial income	284	358	300	156	147	160	186	230
Financial expense	(1,644)	(1,843)	(1,826)	(1,678)	(1,644)	(1,628)	(1,628)	(1,644)
Net financial result	(1,360)	(1,485)	(1,526)	(1,522)	(1,498)	(1,467)	(1,441)	(1,414)
Profit before taxes, associates and JV	12,703	13,239	10,751	10,861	11,337	11,219	11,909	12,611
Taxes	(2,314)	(3,314)	(2,640)	(2,552)	(2,664)	(2,636)	(2,799)	(2,963)
Income from associates and joint ventures	1,120	1,249	1,143	1,177	1,224	1,273	1,337	1,404
Profit for the year	11,509	11,174	9,254	9,486	9,897	9,856	10,447	11,051
of which: non-controlling interests	300	290	221	237	247	246	261	276
of which: shareholders of the parent	11,209	10,884	9,033	9,249	9,649	9,609	10,186	10,775

Nestlé S.A. Income Statement

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Reporting Year

2026F



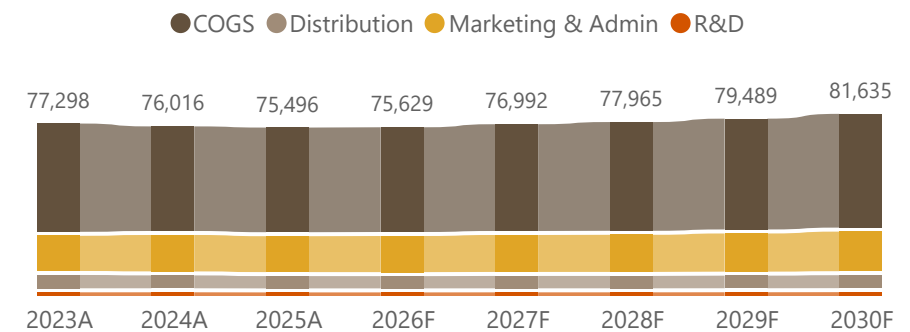
Base Case

Best Case

Worst Case

Selected Year (CHF m)	Amount	YoY %	% Common Size
Revenue	90,315	0.5%	100.0%
Cost of goods sold	(48,738)	-0.1%	-54.0%
Gross profit	41,577	0.9%	46.0%
SG&A & other opex (excl. D&A)	(25,748)	-1.8%	-28.5%
EBITDA	15,829	-0.5%	17.5%
Depreciation & amortization	(3,446)	5.2%	-3.8%
EBIT	12,383	0.9%	13.7%
Net interest	(1,522)	0.3%	-1.7%
EBT	10,861	1.0%	12.0%
Taxes	(2,552)	3.3%	-2.8%
Income from associates and JV	1,177	3.0%	1.3%
Net profit	9,486	2.5%	10.5%

Cost Structure (CHF m)



Balance Sheet (CHF m)	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
ASSETS								
Current assets								
Cash and cash equivalents	4,816	5,556	4,579	4,210	4,760	5,806	7,568	7,404
Short-term investments	1,035	2,315	1,651	1,651	1,651	1,651	1,651	1,651
Inventories	11,896	13,260	12,813	12,418	12,379	12,322	12,407	12,579
Trade and other receivables	10,995	11,251	10,561	10,595	10,754	10,682	10,768	11,069
Prepayments	521	543	479	493	500	503	513	527
Derivative assets (current)	278	792	295	295	295	295	295	295
Current income tax assets	1,284	1,334	1,383	1,383	1,383	1,383	1,383	1,383
Assets held for sale	32	137	208	208	208	208	208	208
Total current assets	30,857	35,188	31,969	31,254	31,931	32,850	34,793	35,117
Non-current assets								
Property, plant and equipment	30,467	33,706	32,549	34,027	35,445	36,854	38,231	39,659
Goodwill	28,693	30,595	27,636	26,692	25,909	25,260	24,720	24,238
Intangible assets	18,225	19,245	16,673	16,516	16,358	16,197	16,084	15,971
Investments in associates and joint	13,088	14,326	12,096	12,487	12,962	13,458	13,987	14,552
Financial assets	2,947	3,650	3,641	3,641	3,641	3,641	3,641	3,641
Derivative assets (non-current)	130	84	229	229	229	229	229	229
Employee benefits assets and reimbursement rights	962	1,475	1,412	1,412	1,412	1,412	1,412	1,412
Deferred tax assets	1,181	995	946	946	946	946	946	946
Total non-current assets	95,693	104,076	95,182	95,950	96,902	97,997	99,251	100,649
TOTAL ASSETS	126,550	139,264	127,151	127,203	128,832	130,846	134,044	135,766
LIABILITIES								
Current liabilities								
Financial debt (current)	9,416	11,863	11,606	11,339	11,226	11,226	11,338	11,451
Derivative liabilities (current)	317	408	202	202	202	202	202	202
Trade and other payables	19,204	21,807	20,023	20,029	20,405	20,767	21,149	21,689
Accruals	5,112	5,466	5,575	5,341	5,441	5,538	5,781	5,928
Provisions (current)	675	865	850	850	850	850	850	850
Current income tax liabilities	2,360	2,425	2,238	2,238	2,238	2,238	2,238	2,238

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Balance Sheet

Reporting Year

2026F



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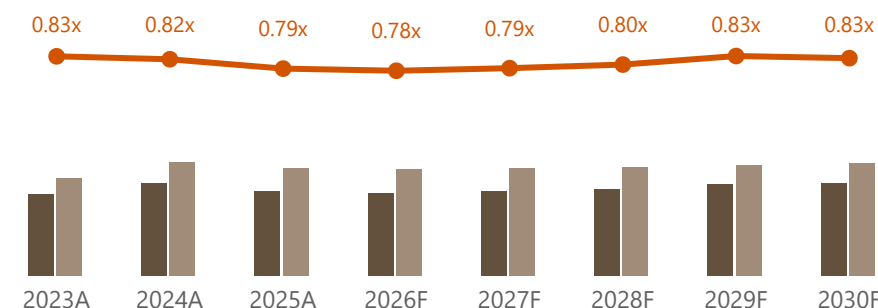
Base Case

Best Case

Worst Case

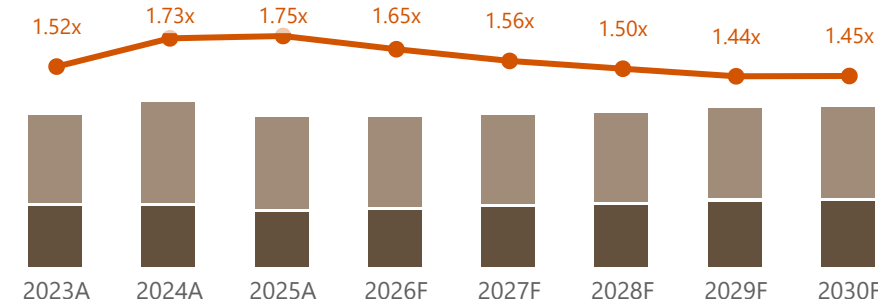
Liquidity (CHF m)

● Current Assets ● Current Liabilities ● Current Ratio



Capital Structure (CHF m)

● Equity ● Interest-Bearing Debt ● Debt/Equity



Cash Flow Statement (CHF m)	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
Operating activities								
Operating profit	14,063	14,724	12,277	12,383	12,834	12,686	13,350	14,024
Depreciation and amortization	3,458	3,582	3,633	3,446	3,487	3,523	3,554	3,639
Impairment	647	580	923	944	783	649	540	481
Net result on disposal of businesses	221	62	237	-	-	-	-	-
Other non-cash items of income and	82	(229)	110	-	-	-	-	-
Cash flow before changes in operating assets and liabilities	18,471	18,719	17,180	16,773	17,104	16,858	17,445	18,145
Decrease/(increase) in working capital	1,134	1,208	488	119	348	586	443	199
Variation of other operating assets and	(425)	(334)	(807)	-	-	-	-	-
Cash generated from operations	19,180	19,593	16,861	16,892	17,453	17,443	17,888	18,344
Interest paid	(1,330)	(1,539)	(1,618)	(1,678)	(1,644)	(1,628)	(1,628)	(1,644)
Interest and dividends received	193	273	205	156	147	160	186	230
Taxes paid	(2,801)	(2,411)	(2,298)	(2,423)	(2,530)	(2,498)	(2,655)	(2,827)
Dividends and other distributions from associates and JV	699	759	2,754	786	749	778	807	839
Operating cash flow	15,941	16,675	15,904	13,733	14,174	14,256	14,599	14,943
Investing activities								
Capital expenditure	(5,714)	(5,638)	(4,527)	(4,407)	(4,382)	(4,404)	(4,398)	(4,521)
Expenditure on intangible assets	(489)	(325)	(384)	(360)	(365)	(367)	(421)	(433)
Acquisition of businesses, net of cash	(211)	(809)	(75)	-	-	-	-	-
Disposal of businesses, net of cash disposed	215	(23)	(81)	-	-	-	-	-
Investments (net of divestments) in associates and JV	(582)	(532)	208	-	-	-	-	-
Inflows/(outflows) from treasury investments	(80)	(1,251)	424	-	-	-	-	-
Acquisition (net) in long-term investments	-	-	(70)	-	-	-	-	-
Other investing activities	665	(46)	138	-	-	-	-	-
Investing cash flow	(6,196)	(8,624)	(4,367)	(4,767)	(4,747)	(4,771)	(4,819)	(4,954)
Financing activities								
Dividend paid to shareholders of the parent	(7,829)	(7,816)	(7,849)	(8,001)	(8,125)	(8,255)	(8,383)	(8,512)

Nestlé S.A.

Cash Flow

Reporting Year

2026F



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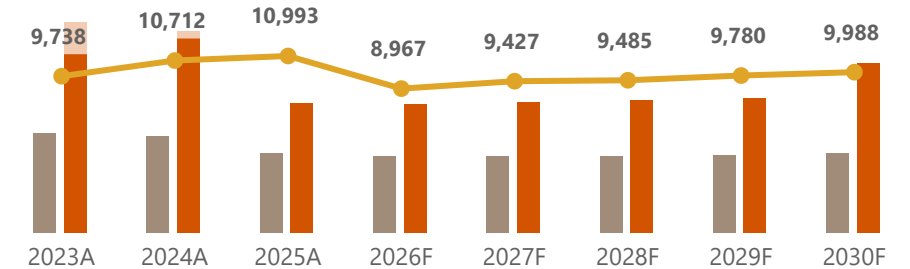
Base Case

Best Case

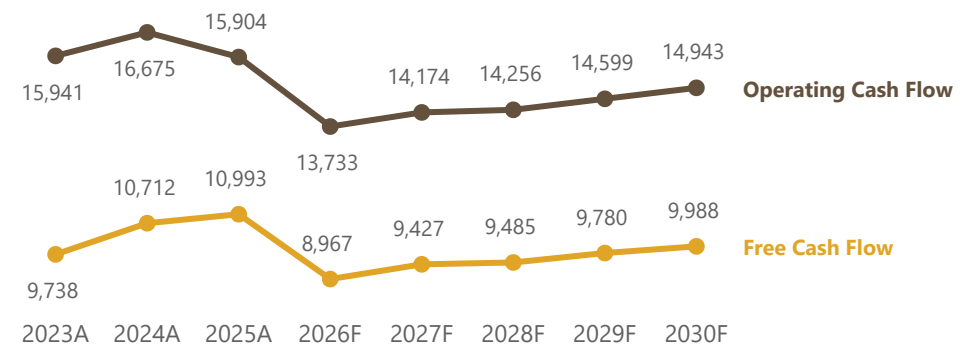
Worst Case

Capital Allocation vs FCF (CHF m)

Capex Shareholder Returns FCF



Operating Cash Flow vs FCF



Key Financial Ratios

Category	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
☐ Asset Utilization								
A/P days (DPO)	139.3	163.5	150.1	150.0	150.0	150.0	150.0	150.0
A/P turnover	2.62x	2.23x	2.43x	2.43x	2.43x	2.43x	2.43x	2.43x
A/R days (DSO)	43.0	44.8	42.9	42.8	42.8	42.3	41.8	41.8
A/R turnover	8.49x	8.15x	8.51x	8.52x	8.52x	8.63x	8.73x	8.73x
Asset turnover	0.74x	0.66x	0.71x	0.71x	0.71x	0.70x	0.70x	0.71x
Cash conversion cycle (days)	-10.0	-19.3	-11.2	-14.2	-16.2	-18.7	-20.2	-21.2
Cash days	18.8	22.1	18.6	17.0	19.0	23.0	29.4	28.0
Cash turnover	19.4x	16.5x	19.6x	21.5x	19.3x	15.9x	12.4x	13.1x
Inventory days (DIO)	86.3	99.4	96.0	93.0	91.0	89.0	88.0	87.0
Inventory turnover	4.23x	3.67x	3.80x	3.92x	4.01x	4.10x	4.15x	4.20x
PP&E turnover	3.06x	2.72x	2.76x	2.65x	2.59x	2.50x	2.46x	2.44x
☐ Cash Flow Quality								
Capex % of revenue	6.6%	6.5%	5.5%	5.3%	5.2%	5.2%	5.1%	5.1%
FCF conversion (FCF / net profit)	84.6%	95.9%	118.8%	94.5%	95.3%	96.2%	93.6%	90.4%
FCF margin	10.4%	11.7%	12.2%	9.9%	10.3%	10.3%	10.4%	10.3%
Shareholder payout (div + buyback) % net profit	113.5%	111.8%	87.1%	84.3%	82.1%	83.8%	80.2%	95.1%
☐ Growth Trends								
Degree of financial leverage			1.03	2.90	1.19	0.36	1.15	1.14
Degree of operating leverage			8.31	1.81	2.41		2.60	1.80
Degree of total leverage		1.67	8.59	5.25	2.87		2.98	2.06
EBIT growth		4.7%	-16.6%	0.9%	3.6%	-1.2%	5.2%	5.0%
EBITDA growth		4.5%	-13.1%	-0.5%	3.1%	-0.7%	4.3%	4.5%
Net income growth		-2.9%	-17.2%	2.5%	4.3%	-0.4%	6.0%	5.8%
Revenue growth		-1.7%	-2.0%	0.5%	1.5%	0.5%	2.0%	2.8%
Total asset growth		10.0%	-8.7%	0.0%	1.3%	1.6%	2.4%	1.3%
☐ Key Figures								
EBIT (CHF m)	14,063	14,724	12,277	12,383	12,834	12,686	13,350	14,024
EBITDA (CHF m)	17,521	18,306	15,910	15,829	16,322	16,209	16,904	17,663
EBIT margin (CHF m)	2.72%	2.67%	2.66%	2.66%	2.67%	2.65%	2.70%	2.68%

Nestlé S.A.
Ratio Analysis

Reporting Year

2026F

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Base Case

Best Case

Worst Case

KPI vs Prior Year

KPI	CY	PY	Change
A/P days (DPO)	150.0	150.1	-0.1
A/P turnover	2.43x	2.43x	0.00x
A/R days (DSO)	42.8	42.9	-0.1
A/R turnover	8.52x	8.51x	0.01x
Asset turnover	0.71x	0.71x	0.00x
Capex % of revenue	5.3%	5.5%	-0.2%
Cash conversion cycle (days)	-14.2	-11.2	-3.0
Cash days	17.0	18.6	-1.6
Cash turnover	21.5x	19.6x	1.8x
Current ratio	0.78x	0.79x	-0.01x
D&A % of revenue	3.8%	4.0%	-0.2%
Debt to EBITDA	3.58x	3.64x	-0.05x
Debt to equity	1.65x	1.75x	-0.10x
Degree of financial leverage	2.90	1.03	1.86
Degree of operating leverage	1.81	8.31	-6.50
Degree of total leverage	5.25	8.59	-3.34
EBIT (CHF m)	12,383	12,277	106
EBIT growth	0.9%	-16.6%	17.5%
EBIT margin	13.7%	13.7%	0.1%

Tax Burden

0.87

Interest Burden

0.88

EBIT Margin

13.7%

Asset Turnover

0.71x

Equity Multiplier

3.70x

Nestlé S.A.

DuPont Analysis

Prepared by Mohammad Rivan Gifari, CMA

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Reporting Year

2026F

Base Case

Best Case

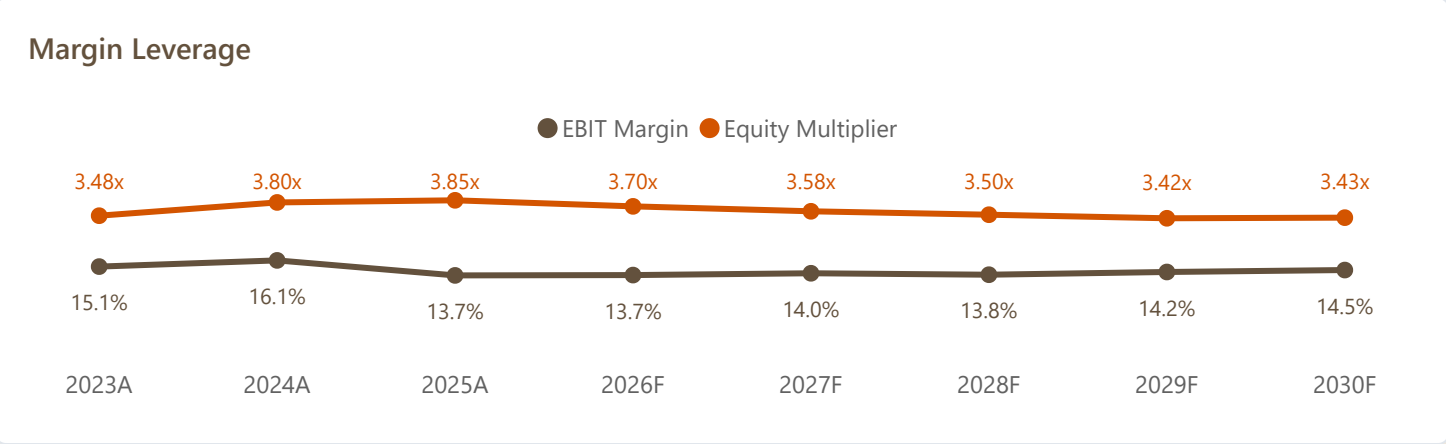
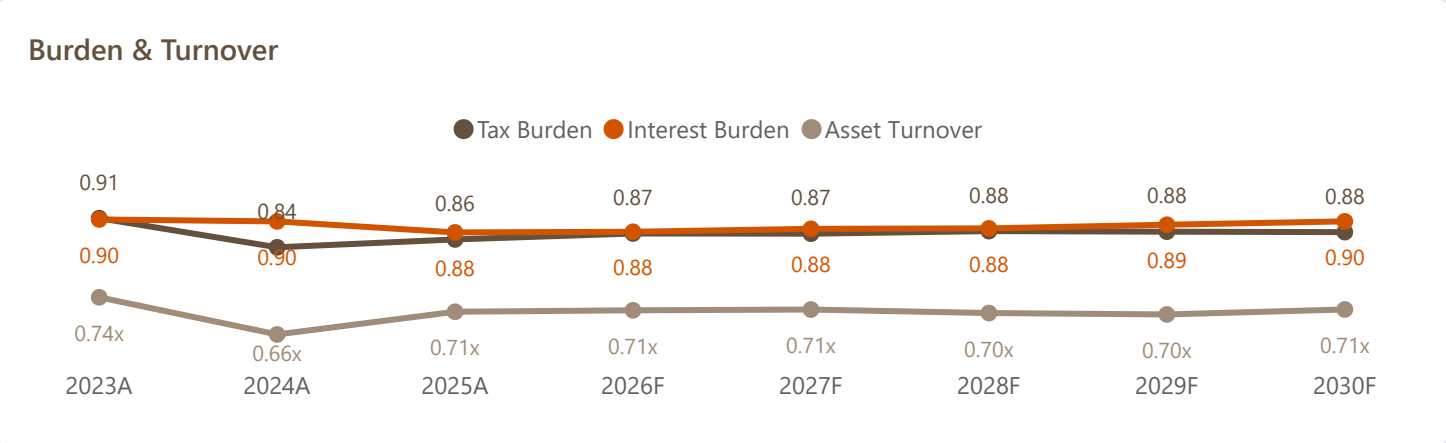
Worst Case

ROE DuPont 5-Step

27.6%

DuPont Check

0.00



DuPont Components

	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
Tax Burden	0.91	0.84	0.86	0.87	0.87	0.88	0.88	0.88
Interest Burden	0.90	0.90	0.88	0.88	0.88	0.88	0.89	0.90
EBIT Margin	15.1%	16.1%	13.7%	13.7%	14.0%	13.8%	14.2%	14.5%
Asset Turnover	0.74x	0.66x	0.71x	0.71x	0.71x	0.70x	0.70x	0.71x
Equity Multiplier	3.48x	3.80x	3.85x	3.70x	3.58x	3.50x	3.42x	3.43x
ROE DuPont 5-Step	31.6%	30.5%	28.0%	27.6%	27.5%	26.4%	26.6%	27.9%

DSO (days)

42.8

DIO (days)

93.0

DPO (days)

150.0

CCC (days)

-14.2

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Working Capital

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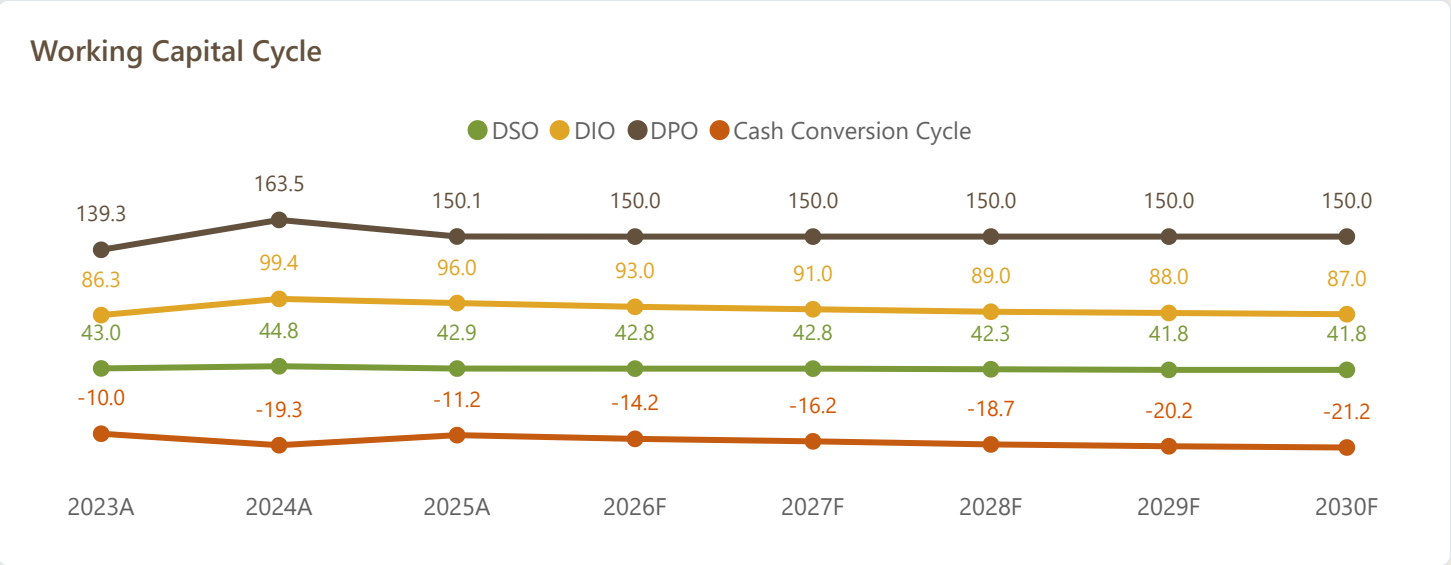
Reporting Year

2026F

Base Case

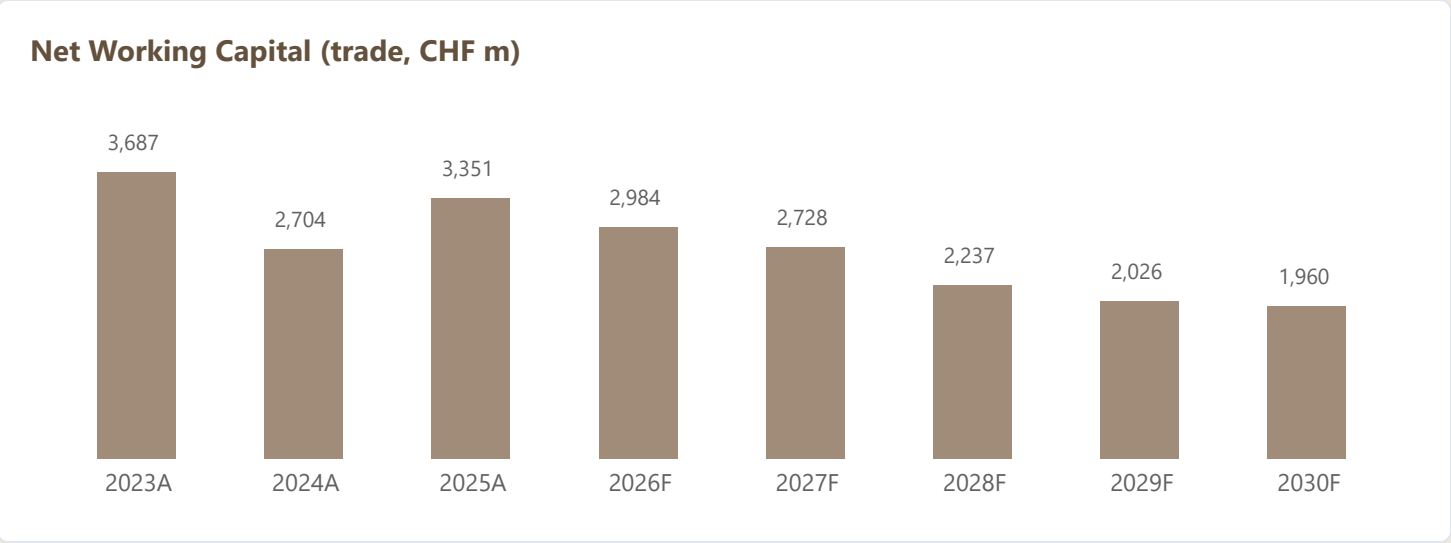
Best Case

Worst Case



Working Capital & Other Op. Cash Flow (CHF m)

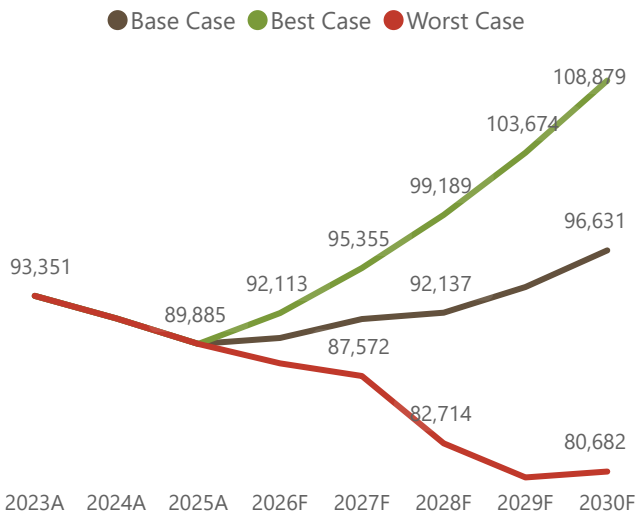
119



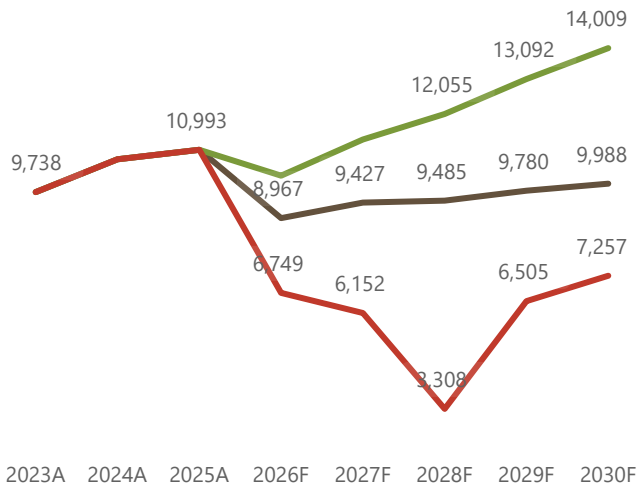
Working Capital Summary

	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
DSO (days)	43.0	44.8	42.9	42.8	42.8	42.3	41.8	41.8
DIO (days)	86.3	99.4	96.0	93.0	91.0	89.0	88.0	87.0
DPO (days)	139.3	163.5	150.1	150.0	150.0	150.0	150.0	150.0
CCC (days)	-10.0	-19.3	-11.2	-14.2	-16.2	-18.7	-20.2	-21.2
NWC Trade (CHF m)	3,687	2,704	3,351	2,984	2,728	2,237	2,026	1,960
WC & Other CF	709	874	(319)	119	348	586	443	199

Revenue by Scenario (CHF m)



Free Cash Flow by Scenario (CHF m)



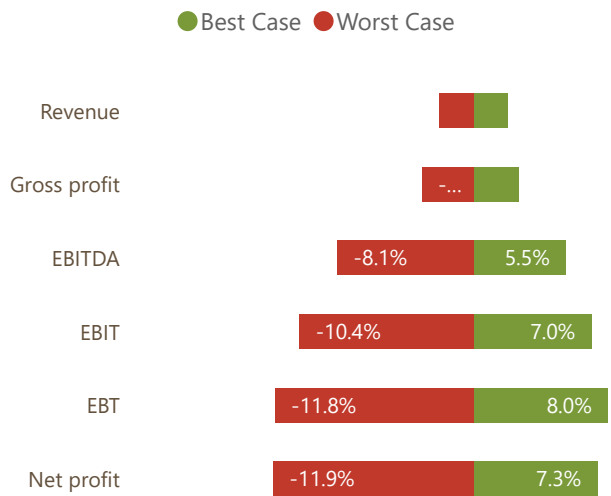
Nestlé S.A. Scenario Analysis

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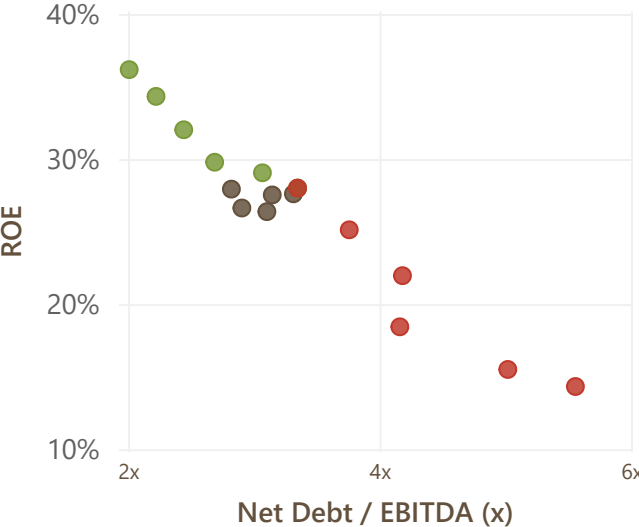
Reporting Year

2026F

Scenario Spread vs Base Case (%)



ROE vs Net Debt/EBITDA



Income Statement by Scenario

Scenario	Base Case		Best Case		Worst Case	
Income Statement (CHF m)	CHF m	vs Base	CHF m	vs Base	CHF m	vs Base
Revenue	90,315	0.0%	92,113	2.0%	88,483	-2.0%
Cost of goods sold	(48,738)	0.0%	(49,428)	-1.4%	(48,189)	1.1%
Gross profit	41,577	0.0%	42,684	2.7%	40,293	-3.1%
SG&A & other opex (excl. D&A)	(25,748)	0.0%	(25,990)	-0.9%	(25,749)	-0.0%
EBITDA	15,829	0.0%	16,694	5.5%	14,544	-8.1%
Depreciation & amortization	(3,446)	0.0%	(3,446)	0.0%	(3,446)	0.0%
EBIT	12,383	0.0%	13,249	7.0%	11,099	-10.4%
Net interest	(1,522)	0.0%	(1,522)	0.0%	(1,522)	0.0%
EBT	10,861	0.0%	11,727	8.0%	9,577	-11.8%
Taxes	(2,552)	0.0%	(2,756)	-8.0%	(2,251)	11.8%
Income from associates and JV	1,177	0.0%	1,212	2.9%	1,029	-12.6%
Net profit	9,486	0.0%	10,183	7.3%	8,355	-11.9%
Attributable to NCI	237	0.0%	255	7.3%	209	-11.9%
Attributable to parent	9,249	0.0%	9,928	7.3%	8,146	-11.9%

Driver Assumptions

Category	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
Capex & D&A								
Capex (PP&E), % of sales	6.1%	6.2%	5.1%	4.9%	4.8%	4.8%	4.7%	4.7%
Intangible capex, % of sales	0.5%	0.4%	0.4%	0.4%	0.4%	0.4%	0.5%	0.5%
Combined D&A rate, % of opening PP&E + intangibles		7.4%	6.9%	7.0%	6.9%	6.8%	6.7%	6.7%
D&A allocated to PP&E, %	85.0%	85.0%	85.0%	85.0%	85.0%	85.0%	85.0%	85.0%
Non-cash charges, % of other trading & operating expenses	26.7%	36.8%	36.9%	35.0%	35.0%	35.0%	35.0%	35.0%
Debt & Interest								
Interest rate on cash & ST investments		6.12%	3.81%	2.50%	2.50%	2.50%	2.50%	2.50%
Financial debt change, % YoY		15.1%	-9.0%	-2.0%	-1.0%	0.0%	1.0%	1.0%
Current portion of financial debt, %	17.0%	18.7%	20.1%	20.0%	20.0%	20.0%	20.0%	20.0%
Interest rate on financial debt		3.34%	2.87%	2.90%	2.90%	2.90%	2.90%	2.90%
Interest rate on revolving credit line			5.00%	4.20%	4.20%	4.20%	4.20%	4.20%
Minimum cash balance, CHF m				3,000	3,000	3,000	3,000	3,000
Equity & Dividend								
Dividend payout ratio, % of parent net profit	69.8%	71.8%	86.9%	86.5%	84.2%	85.9%	82.3%	79.0%
Maximum payout under dividend floor, % of parent net profit				100%	100%	100%	100%	100%
Dividends to NCI, % of NCI profit	107.7%	60.0%	77.8%	75.0%	75.0%	75.0%	75.0%	75.0%
Treasury share purchases, CHF m	5,234	4,678	213	0	0	0	0	2,000
Buyback ceiling, net debt / EBITDA (x)				3.0x	3.0x	3.0x	3.0x	3.0x
Dividends from associates & JV, % of opening		5.8%	19.2%	6.5%	6.0%	6.0%	6.0%	6.0%
Growth & Margin								
Sales growth, % YoY		-1.8%	-2.0%	0.5%	1.5%	0.5%	2.0%	2.8%
Other revenue, % of sales	0.38%	0.40%	0.44%	0.42%	0.43%	0.43%	0.44%	0.45%
COGS growth, % YoY		-3.3%	0.0%	0.1%	1.9%	1.8%	1.8%	2.6%
Distribution expenses, % of sales	8.3%	8.3%	8.2%	8.1%	8.1%	8.0%	8.0%	7.9%
Marketing & administration, % of sales	18.9%	19.8%	20.0%	20.0%	20.1%	20.1%	20.2%	20.3%
R&D costs, % of sales	1.8%	1.8%	1.8%	1.8%	1.8%	1.8%	1.8%	1.8%

Nestlé S.A.
Assumptions & Drivers

Reporting Year

2026F



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Base Case

Best Case

Worst Case

Driver Comparison by Scenario

DriverName	Base Case	Best Case	Worst Case
Sales growth, % YoY	0.5%	2.5%	-1.5%
Other revenue, % of sales	0.42%	0.42%	0.38%
COGS growth, % YoY	0.1%	1.5%	-1.0%
Distribution expenses, % of sales	8.1%	8.0%	8.3%
Marketing & administration, % of sales	20.0%	20.1%	19.7%
Other trading income, % of sales	0.14%	0.16%	0.08%
Other trading expenses, % of sales	2.40%	2.20%	2.70%
Other operating income, % of sales	0.30%	0.35%	0.15%
Other operating expenses, % of sales	0.60%	0.50%	0.85%
Income from associates & JV, % YoY	3.0%	6.0%	-10.0%

Trend: select a driver in the table above

Assumption Rationale

Driver Justification

Executive Summary

Base Case 2026F: 2 of 5 signals weakened vs 2025A (EBITDA margin, ROE). Priority: restore margin through cost discipline before adding growth spend.

Nestlé S.A. Key Takeaways

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Reporting Year

2026F



Base Case

Best Case

Worst Case

Growth & Margin

Base Case 2026F: revenue CHF 90,315m (+0.5% vs 2025A); EBITDA margin 17.5% (-0.2 pp). Implication: growth is not converting into margin; costs grew faster than revenue. Consider: review Marketing & Admin (19.9% of revenue, the largest opex line) before committing to new growth spend.

Cash Generation

Base Case 2026F: FCF CHF 8,967m (-18.4% vs 2025A), 95% of net profit; shareholder returns CHF 8,001m (89% of FCF). Implication: cash conversion is below the 2023A-2025A level of 98%. Consider: review working-capital and associate-dividend timing before committing to higher payouts.

Returns

Base Case 2026F: ROE 27.6% (-0.4 pp vs 2025A); ROIC 10.9% (+0.2 pp). Implication: most of the ROE change comes from the equity multiplier (down). Consider: lower leverage is diluting ROE; this is a de-risking trade-off, so judge operating performance on ROIC (10.9%).

Leverage

Base Case 2026F: net debt CHF 52,485m, 3.32x EBITDA (-0.03x vs 2025A); interest coverage 9.4x. Implication: leverage is below the 2025A starting point of 3.35x and still falling. Consider: on track; judge progress against management's stated aim by the change from 2025A on this model basis.

Working Capital

Base Case 2026F: CCC -14.2 days (-3.0 vs 2025A); DSO 42.8, DIO 93.0, DPO 150.0; trade NWC CHF 2,984m. Implication: suppliers fund the operating cycle; most of the change comes from DIO (down). Consider: inventory efficiency released about CHF 406m; each DIO day is worth about CHF 134m.

Scenario Gap

2026F (all scenarios): net profit Best CHF 10,183m / Base 9,486m / Worst 8,355m (+7.3% / -11.9% vs Base) on revenue +2.0% / -2.0%. Implication: on the downside, net profit is about 5.9x as sensitive as revenue. Consider: Worst Case leverage of 3.76x is above the 2025A level of 3.35x; buybacks pause automatically, so the remaining levers are dividend growth and cost flexibility.

Implication and Consider lines are rule-based interpretations of model outputs, not investment advice.